

report, printed on heavy weight stock, and filled with a brightly optimistic, slightly breathless commentary more at home in the pages of *Vanity Fair* than wrapped around financial statements.¹¹ The tone set by the report was not to distract from the financials—far from it, they were the centerpiece, like a Thanksgiving turkey nestled with pride amongst the trimmings—but to add a patina of glamour appropriate to such a high growth, high-technology enterprise. The balance sheet was clean and the income statement showed earnings per share growing at a rapid clip. Nothing was hidden. If the return on equity was a little anemic, and more of the gains came from mergers and acquisitions than operations, then such was the nature of the conglomerate business. The shareholders didn't seem to care, as long as this new man of high-technology engineered revenues and earnings that climbed straight up. The report heaved with graphs, charts, and statistics highlighting the company's outstanding performance, *de rigueur* for a scientifically directed organization. Thornton knew his audience well.

While Thornton may have sold Litton as a high-technology business, there was nothing particularly bleeding edge about his management style. Like the other *conglomerateurs* bolting on smaller firms to the larger hodgepodge, Litton used its shares—which traded at a high price-to-earnings ratio because of its apparent high rate of growth and the general fad for conglomerates—to acquire the stock of other companies with lower price-to-earnings ratios, but often at a significant premium. The objective was to transform the earnings of the target, acquired at a lower price-to-earnings ratio, into earnings of the conglomerate, which traded at a higher price-to-earnings ratio, and create the illusion of rapid growth at the conglomerate. A conglomerate with a market capitalization of \$20 million, and trading on a price-to-earnings ratio of 20, for example, could target a company with the same level of earnings, \$1 million, but trading on a price-to-earnings ratio of 8. The conglomerate could offer a 25 percent premium over the market price, and still only pay \$10 million, or 10 times earnings, for the target. Once the acquisition was completed, the conglomerate doubled its earnings to \$2 million, but only increased its share count by 50 percent. Thus the earnings of the target, now transmogrified into conglomerate earnings, boosted the earnings per share of the acquirer by 33 percent. The conglomerate appeared to show a high rate of growth in earnings per share, and the stock followed suit, shooting up to maintain the same multiple on markedly higher earnings.

By 1959 Litton hit \$120 million in sales, and Thornton exceeded the five-year target he had set in the presentation to Lehman Brothers by \$20 million. In 1958 Litton had completed several large transactions, but the one that contributed the most to pushing Litton past the \$100 million-in-sales mark—Monroe Calculating Machine Company—was characteristic of Thornton's